

ENVIRONMENTAL, SOCIAL & GOVERNANCE (ESG) REPORT

Quarter Ended June 30, 2024 (Q2)

Internal Management Report – Reviewed

ESG Overview

Vertex Logistics Corp. is committed to responsible operations, workforce safety, and sound corporate governance. This Q2 2024 ESG report highlights key operational, environmental, and governance metrics that influence business performance, risk management, and long-term sustainability.

Environmental Performance

The Company continues to focus on fuel efficiency and emissions reduction across its fleet. While fuel optimization initiatives remain active, elevated fuel costs during the quarter impacted operating margins.

Metric	Q2 2024
Average Fuel Cost per Mile	\$0.71
Fleet Utilization	78%
Emission Monitoring Coverage	100% of Fleet

Social & Operational Performance

Operational service levels weakened during the quarter due to capacity constraints and delivery delays. These factors contributed to lower fulfillment performance and impacted customer service reliability.

KPI	Q2 2024
On-Time Delivery (OTD)	86%
On-Time In-Full (OTIF)	89%
Capacity Utilization	78%

Governance

The Company maintains established governance policies, including board oversight of risk management, financial controls, and compliance with regulatory requirements. No material governance breaches were identified during Q2 2024.

Linkage to Financial Performance

Operational shortfalls reflected in OTD, OTIF, and utilization metrics contributed to margin compression and reduced cash inflows during the quarter. These ESG-related operational factors were a contributing driver to the Debt Service Coverage Ratio (DSCR) falling below the minimum covenant threshold.